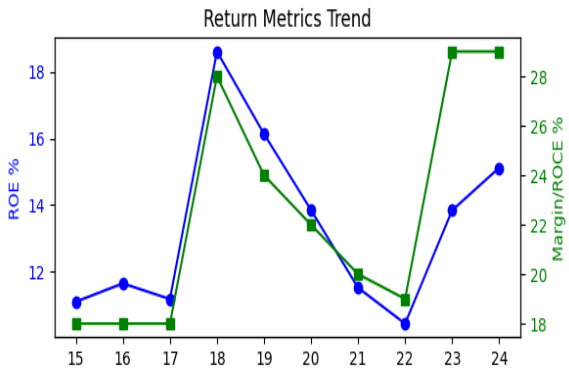
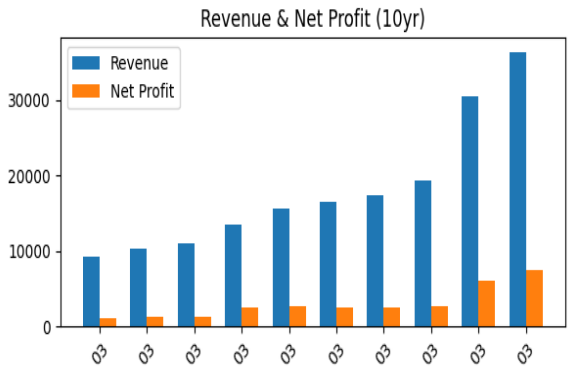
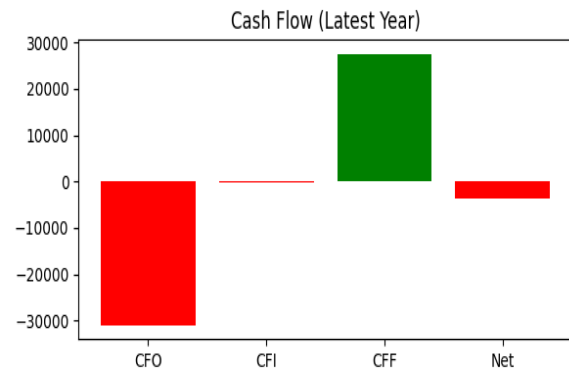
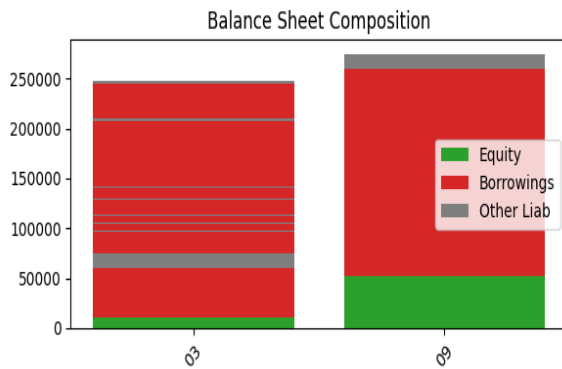


Shriram Finance Ltd (SHRIRAMFIN)

ROE %	15.1%	D/E Ratio	3.99
Net Profit Mgn	20.3%	FCF (Cr)	-31359
Asset Turnover	0.15	Div Payout	23.0%



Shriram Finance Ltd - Financial Health & Profile



Capital Allocation Pattern: Distress Signal

Pros:

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility